SSLC Board Package

Acquisition Offer — Board Meeting

October 11, 2026

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CONFIDENTIAL — prepared under the 7/27/2021 NDA — not for distribution

EXOS OFFER TO SCORPIUS SPACE LAUNCH COMPANY

Board Overview

John M. Quinn | Cofounder & CEO, Exos Aerospace

October 10, 2026

CONFIDENTIAL — DRAFT — NEGOTIATING TERMS

The Decision

The Board is asked to vote on four motions today.

That's why Exos has stayed committed to funding this acquisition: fair value for SSLC holders, stability for SSLC's team, and real growth for investors. Together we're stronger than apart.

Motion 1: §3 exclusivity — 90-day window begins on board approval (May 2025 AAA)
Motion 2: Full read-only QB Online access for diligence (Cal. Corp. Code §1602 + AAA §4; under 7/27/2021 NDA)
Motion 3: Correct AR Unbilled & Deposits accounting within 5 days (A La Carte + outside CPAs)
Motion 4: Consent to ERP/MRP & inventory evaluation using QB data (confidential under NDA)

Where SSLC Stands Today

$590K

Cash at 10/11

One IM payment 10/7

$713K

Last quarter revenue

Most recent reported quarter

~$1.46M/qtr

Required to hit $5.1M

M1 milestone threshold

$590K cash at 10/11 came largely from one Intuitive Machines payment on 10/7 for start-billed tanks; a $5.1M year still requires ~2× last quarter's pace starting now. With $1.03M of debt, equity of −$1.44M, and physical-space and single-winder constraints, Exos's offer removes the funding risk and gives SSLC holders direct upside.

SSLC Capital & Debt: What's on the Books

WHAT INVESTORS PAID IN

Common stock (Acct 3010)	$1,010,423
APIC (Acct 3020)	$4,042
Total paid-in capital	**$1,014,465**
Exos: 18.06% → $789,572	**~78% of above**
Accum. deficit (thru FY26)	**−$2,571,013**
FY27 YTD net income (10/11)	**+$112,666**
Total equity (10/11/2026)	**−$1,443,882**

WHAT SSLC OWES (10/11/2026)

Loans & notes (total)	**$1,027,783**
Due to Microcosm (Acct 2385)	**$451,429**
Notes Payable – Bookstore	**$320,582**
SBA EIDL (Acct 2712)	**$132,072**
Wertz loan (Acct 2714)	**$92,500**
Exos loan (11%; stands)	**$31,200 (~$38K+int)**
Total liabilities (10/11)	**$1,296,521**

Exos loan reconciled:

$60K originated 10/10/2024; $28.8K repaid (3/19 + 5/2/2025); $31,200 balance. 11% interest (~$38K total w/ int.); past due 1+ yr. SSLC and Exos records confirmed.

Separate $30K loan (5/9/2024) converted to 5,464 shares on 7/24/2024 — included in Exos's $790K paid-in capital.

OPEN ITEMS (Exos assessment pending reconciliation via Motion 2)

"Billed-ahead" balance: $942,177 booked as of 10/11. Exos's assessment: overstated — SSLC bills IM ~40% at tank start; those start-billings appear not cleared at shipment. Est. ~$100–200K genuinely in progress. Reconciliation requested via Motion 2. | Facility costs since Jan 2024: ~$805K (rent $725K + other; doubled to ~$23.6K/mo Jul 2024). Never charged back to Microcosm on SSLC's books.

per SSLC QuickBooks 10/11/2026; Exos billed-ahead assessment pending reconciliation

What SSLC Holders Receive

Cash at close	**$2.51M**
SSLC transaction costs	**$60K**
Exos stake credit (non-cash)	**$790K**
Working-capital bridge	**$500K**
① Cash at close — target by Feb 15th	**$3.86M**
+ Exos equity — EAI units at 409A (Rule 504, ~0.59%)	**$1.0M**
② Total at financing close (SSLC asset acquisition)	**$4.86M**

Issued at financing close
Restricted at issuance (Rule 504)
Part of RTO public float
Freely tradeable at listing

How Value Grows: Earn-Outs & Milestones

Earn-Out	Target SSLC Must Hit	Low	Base	High	Pays
5% of IM tank revenue/yr cap $300K/yr, FY27–FY31	Revenue SSLC achieves each year FY27–FY31	$3.0M/yr →$150K/yr →$750K total	$5.0M/yr →$250K/yr →$1.25M total	$6.0M+/yr →$300K/yr (cap) →$1.5M total	Annual FY27–FY31
M1 SSLC FY27 rev ≥$5.1M →$200K	Annual rev ≥$5.1M in FY27	✓	✓	✓	FY28 Q1
M2 Nebula OTV flight tank set delivered & accepted by IM →$200K	Tank set delivered and accepted by Intuitive Machines	—	✓	✓	At acceptance
M3 SSLC annual rev ≥$10M →$250K	Annual rev ≥$10M	—	✓	✓	Est. FY29
M4 SSLC annual rev ≥$20M →$250K	Annual rev ≥$20M	—	—	✓	Est. FY31
M5 50% reduction in tank build cost (dome & build-process automation proven) →$200K (High)	50% cost reduction proven (dome & process automation)	—	—	✓	Est. FY27–28
Exos stock earn-out at RTO listing (adds to ~0.59% EAI up-front)	Issued at RTO listing	$0 (0.0%)	$625K (0.25%)	$1,500K (0.50%)	Post-RTO ~FY29
TOTAL EARN-OUTS (③ minus ②)		**$950K**	**$2,525K**	**$4,100K**	**5-yr total**

Total Offer Value

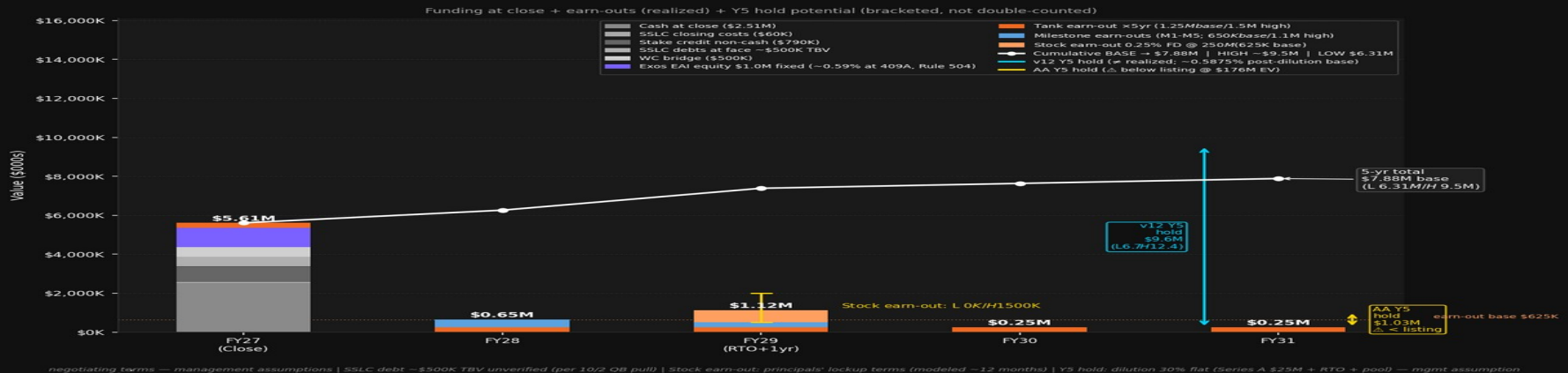
③ 5-Year Total (earn-outs realized)

Low	Base	High
$5.8M	$7.4M	$9.0M
5-yr realized	5-yr realized	5-yr realized

④ If Exos Stock Held to 2031 (projection)

Low	Base	High
$11.5M	$15.3M	$18.9M
if held to 2031	if held to 2031	if held to 2031

④ is a forward-looking projection, not a guarantee; an alternative to ③ — not added to it. RTO may not close.



negotiating terms — management assumptions | SSLC debt ~$500K TBV unverified (per 10/2 QB pull) | Stock earn-out: principals' lockup terms (modeled ~12 months) | Y5 hold: dilution 30% flat (Series A $25M + RTO + pool) — mgmt assumption

The Exos Stock

Instrument

$1.0M EAI units at the current 409A valuation (~$169.7M); ~0.59% fully diluted at issuance.

Offering

Part of Exos's Rule 504 Regulation D offering. U.S. persons only. Counts toward the $10M rolling 12-month cap.

Restricted at issuance

Units carry a restrictive legend at issuance (Rule 504 Reg D). Not freely tradeable prior to the RTO listing.

Public float at RTO

Structured to be part of the public float at going public. No principals' lockup applies to these units; locked-up shares would not count as float.

Freely tradeable at listing

Becomes freely tradeable at the RTO listing (no lockup on the up-front units). Covered by the RTO resale registration.

Timeline

Units issued at financing close. Targeted RTO ~6 months post-financing. Not assured — RTO may not close.

SSLC Employees

Employment Offer

Exos shall offer employment to SSLC employees — including management, support, engineering, and other technical and manufacturing employees — on terms no less favorable than their current terms with SSLC, including compensation and benefits.

Subject to each employee satisfying Exos's standard hiring policies and Exos's completion of confirmatory due diligence.

Key-Employee Option Pool

Exos has an option pool for key employees. The allocation, key-employee retention and new-hire structure will be mutually agreed post-acquisition.

Exos Funding Commitments

$2.51M cash	at financing close (target Feb 15th)
SSLC transaction costs	at financing close (target Feb 15th)
Working-capital bridge $500K	at financing close (target Feb 15th)
$1.0M Exos stock (EAI units, Rule 504)	at financing close (target Feb 15th)
Capital in the new year — physical space and a second winder	(amount TBD; committed at financing close)
Employment offers + option pool	at financing close (target Feb 15th)
Earn-outs on milestones and tank revenue	FY27–FY31 as triggered

One decision today: confirm §3 exclusivity → 90 days → financing close target Feb 15th

Projected Shareholder Payout — Close Jan 15, 2027 (Base Case, Current Books)

Cash to Shareholders at Close

Exos cash purchase price	+$2,510,000
+ SSLC cash at close (est.; $590K on 10/11)	+$675,000
Subtotal inflows	**$3,185,000**
– SSLC loans & notes	($1,027,783)
Microcosm $451K · Bookstore $321K · EIDL $132K · Wertz $92.5K · Exos $31.2K+int	
Exos loan reconciled: $60K→$31.2K bal.; $30K prior converted to 5,464 shares (incl. in $790K paid-in).	
– Other current liabilities (AP, accruals)	($148,738)
– Customer deposits (IM, transferred)	($120,000)
– Billed-ahead work, genuine (Exos est.)	($250,000)
– 5% escrow holdback (released 12 months)	($125,500)
Net cash distributable at close	**~$1.51M**
+ Exos stock (EAI units, Rule 504, 409A)	+$1,000,000
+ Escrow release at 12 months	+$126,000
+ Earn-outs base case (FY27–FY31)	+$2,525,000
~5-year total to SSLC shareholders	**~$5.16M**

What Shareholders Paid In vs. Will Receive

PAID-IN CAPITAL (per SSLC books)

Common stock	$1,010,423
Additional paid-in capital (APIC)	$4,042
Total paid-in capital	**$1,014,465**

Exos: $790,000 for 18.06% — recognized via $790K stake credit in price

All other holders: ~$224,000 combined for 81.94%

Invested largely 25+ years ago (per John Quinn; to be confirmed in the stock ledger).
Exos's $790K was invested 2021–2024 to keep SSLC operating.

PROJECTED RETURN (OTHER HOLDERS, 81.94%)

Cash + stock at close (est.)	~$2.5M
Total over 5 years incl. earn-outs	~$5.2M
Implied return on invested capital	**11× at close / 23× over 5 yrs**

Framed as: holders who invested ~$224K receive a strong return.
Exos's 18.06% is absorbed in the $790K credit — no extra cash from Exos for its own stake.

Note: insiders receive ~$544K debt repayment at close ahead of equity distributions (Microcosm $451K + Wertz $93K + Exos $39K with interest).

Why We Need the Stock Ledger (Motion 2)

- SSLC's books carry paid-in capital only as one total ($1,014,465); per-holder amounts, share counts, and dates and amounts of each holder's investment are not on the books.
- GL shows a 7/24/2024 conversion of a $30K Exos loan into 5,464 shares that must be reconciled to the $790K stake credit.
- ~$544K of insider debt is repaid at close ahead of equity distributions; the 81.94% split can't be validated without the stock ledger, cap table and subscription agreements.

Projection on current SSLC books (10/11/2026) and Exos estimates; not a guarantee. Billed-ahead balance under reconciliation (Motion 3). Low/high: net cash $1.28M–$1.74M; 5-yr total $3.4M–$7.0M.

Board Motions

1 Confirm §3 Exclusivity (May 2025 Asset Acquisition Agreement)

Approve a 90-day exclusivity period beginning on the date of this approval.
Extension not unreasonably withheld (per §3). Allows both parties to proceed to diligence, definitive agreement, and financing close (target: Feb 15th, 2027).

☐ Approve
☐ Decline

2 Grant Full Read-Only QuickBooks Online Access for Diligence

Authorize an all-access or accountant user for John Quinn and one Exos finance reviewer.
Purpose: reconcile the $942K "billed-ahead" balance and shared-facility costs before close.
Basis: Cal. Corp. Code §1602 director inspection right + AAA §4 confirmatory diligence.
Also provide: stock ledger, cap table, subscription agreements, and paid-in capital by shareholder (books: $1,014,465 total paid-in; need per-holder to compare payout vs. invested).
Confidential under the 7/27/2021 NDA. Access to be granted no later than October 15, 2026.

☐ Approve
☐ Decline

3 Correct AR Unbilled / Customer-Deposit Accounting Within 5 Days

Direct A La Carte Solutions (bookkeeper) + Singer Lewak / Welch & Co. to reconcile and correct:
- Acct 1110 AR Unbilled ($942,177) and Acct 2380 Deposits ($120,000) within 5 days of approval.
- Clear start-billings on completed/shipped tanks; post missing Jul–Sep 2026 rev-rec entries.
- Tank-by-tank reconciliation (IM-109/122/134, EXOS-133) + corrected balance sheet to all directors.

☐ Approve
☐ Decline

4 Consent to ERP/MRP & Inventory Evaluation (Separate Motion)

Authorize Exos to use the same QB data to evaluate its in-house ERP/MRP and inventory systems for the combined operation. Confidential under the NDA.
Does not create any obligation to implement; evaluation only.

☐ Approve
☐ Decline

Governance: John Quinn abstains on all motions as an interested director; motions are decided by the disinterested directors.

Path to Close

1. **Board Votes — Four Motions**
   Today — action requested at this meeting
2. **90-Day Exclusivity Window**
   Negotiation and diligence period begins
3. **Definitive Agreement**
   Key terms, employee pool, earn-out detail finalized
4. **Financing Close — target Feb 15th**
   Cash at close + EAI units issued; ① + stock = ②
5. **Targeted RTO**
   ~6 months post-financing; units tradeable at listing (not assured)

The Board is asked to vote on Motions 1–4. Questions and open items welcome.

INTERNAL · DRAFT · NEGOTIATING TERMS · CEO / Board Eyes Only

EXOS AEROSPACE — SSLC OPTION B: ACQUISITION OFFER SUMMARY

October 9, 2026 · Exos Aerospace Systems & Technologies, Inc.

1. What SSLC Holders Receive

Up-front price reflects today's numbers; earn-outs let SSLC holders share directly in tank deliveries, revenue milestones, and the Exos listing.

Earn-out rows: negotiating terms — management assumptions. Each milestone is independently verifiable; none pay unless the trigger is met.

Component	Low	Base	High	When / Notes
Cash at close	$2,510K	$2,510K	$2,510K	Close target Feb 15th (~Q1 FY27)
SSLC transaction costs	$60K	$60K	$60K	Close; seller-side
Credit for Exos's existing stake	$790K	$790K	$790K	Close (non-cash credit)
Working-capital bridge	$500K	$500K	$500K	Close
① Cash at close — target by Feb 15th	**$3,860K**	**$3,860K**	**$3,860K**	**Cash + costs + stake credit + WC bridge**
+ Exos equity — $1.0M fixed EAI units (Rule 504, ~0.59% at 409A ~$170M)	$1,000K	$1,000K	$1,000K	EAI units issued as part of Exos's Rule 504 offering, at the 409A value; $1.0M counts toward Rule 504 $10M cap; issued at financing close
② Total at financing close (SSLC asset acquisition)	**$4,860K**	**$4,860K**	**$4,860K**	**Target: Feb 15th**
Tank earn-out: 5% of SSLC's IM tank revenue/yr, cap $300K/yr, FY27–FY31	$750K	$1,250K	$1,500K	Single 5% rate; scenario = revenue SSLC achieves: Low $3M/yr → $150K/yr; Base $5M/yr → $250K/yr; High $6M+/yr → $300K/yr (cap)
Milestone M1: SSLC FY2026-27 rev ≥$5.1M	$200K	$200K	$200K	Pays FY28 Q1 if verified (all scenarios: mgmt base case)
Milestone M2: Nebula OTV flight tank set delivered & accepted by Intuitive Machines	—	$200K	$200K	Pays at customer acceptance (any year FY27–FY30)
Milestone M3: SSLC annual rev ≥$10M	—	$250K	$250K	Pays first year threshold hit (est. FY29 at base/high)
Milestone M4: SSLC annual rev ≥$20M	—	—	$250K	Pays first year threshold hit (est. FY31 at high)
Milestone M5: 50% reduction in tank build cost (dome & build-process automation proven)	—	—	$200K	Pays when 50% cost reduction proven (est. FY27–FY28)
Exos stock earn-out at listing (on top of ~0.59% EAI up-front)	$0	$625K	$1,500K	Post-RTO ~FY29; earn-out 0.0%/0.25%/0.5% FD; lockup same as Exos principals. At 409A: $0/$424K/$848K. Total Exos equity: ~0.59%/~0.84%/~1.09%.
③ TOTAL OFFER VALUE, 5-yr (② + earn-outs; earn-out stock at listing)	**$5,810K**	**$7,385K**	**$8,960K**	**FY27–FY31. HIGH < $10M target — not rebalanced.**
IF HELD: all Exos stock projected in FY2031 (replaces listing earn-out)	**$6.7M**	**$9.6M**	**$12.4M**	**Total stake ~0.59/0.84/1.09% → ~0.41/0.59/0.76% after ~30% dilution × ~$1.63B FY31 EV (16× v12 EBITDA). Projection only; on SSLC-actuals case ~$0.7–1.3M.**
④ TOTAL IF STOCK HELD TO 2031 (① + tank + milestones + 2031 stock)	**$11.5M**	**$15.3M**	**$18.9M**	**Alternative to ③, NOT added to it. Forward-looking projection, not a promise; RTO may not close.**

Earn-Out Targets: FY27–FY31

Earn-out	Target SSLC must hit	Low	Base	High	Pays
Tank earn-out 5% of IM tank revenue/yr,	Revenue SSLC achieves each year FY27–FY31	$3.0M/yr → $150K/yr	$5.0M/yr → $250K/yr	$6.0M+/yr → $300K/yr	Annual, FY27–FY31

cap $300K/yr, FY27–FY31		→ $750K total	→ $1.25M total	(cap) → $1.5M total	
M1: SSLC FY2026-27 rev ≥ $5.1M → $200K	SSLC FY27 annual revenue ≥ $5.1M	✓	✓	✓	FY28 Q1 (if verified)
M2: Nebula OTV flight tank set delivered & accepted by Intuitive Machines → $200K	Tank set delivered and accepted by IM	—	✓	✓	At customer acceptance
M3: SSLC annual rev ≥ $10M → $250K	SSLC annual revenue ≥ $10M	—	✓	✓	First yr hit (est. FY29)
M4: SSLC annual rev ≥ $20M → $250K	SSLC annual revenue ≥ $20M	—	—	✓	First yr hit (est. FY31)
M5: 50% reduction in tank build cost (dome & build-process automation proven) → $200K	50% cost reduction proven via dome & process automation	—	—	✓	When proven (est. FY27–28)
Exos stock earn-out at RTO listing (additional to ~0.59% EAI up-front)	Issued at RTO listing	$0 (0.0%)	$625K (0.25%)	$1,500K (0.50%)	Post-RTO ~FY29
TOTAL EARN-OUTS (5-yr, ③ minus ②)		**$950K**	**$2,525K**	**$4,100K**	

Earn-out totals verified: Low $750K+$200K+$0=$950K ✓ Base $1,250K+$650K+$625K=$2,525K ✓ High $1,500K+$1,100K+$1,500K=$4,100K ✓ (each = ③ minus ② = ③ minus $4,860K)

EAI units: $1.0M fixed (~0.59% FD) issued as part of Rule 504 offering at close; part of RTO public float; freely tradeable at listing (no lockup). Earn-out stock (0.0–0.5% additional) at RTO listing. Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx → 'EAI Lockup & Liquidity' and 'Total Compensation' sheets.

3. Key Terms

Term	Detail
Agreement basis	May 2025 Asset Acquisition Agreement, §3 exclusivity trigger
Total commitment	$4,860,000 base at close ($2.51M cash + $60K costs + $790K Exos stake credit + $500K WC + $1.0M EAI equity at 409A, Rule 504)
Exclusivity period	90 days from SSLC confirmation; extension not unreasonably withheld (§3)
Holdback (§7)	5% escrow, released at 12-month anniversary
SSLC debts	Not assumed by Exos; SSLC's own responsibility. Removed from offer 10/10.
SSLC employees	Exos offers employment to SSLC employees on terms no less favorable than current (incl. comp & benefits), subject to Exos hiring policies + confirmatory diligence; key-employee option pool set in the Definitive Agreement
Status	DRAFT — NEGOTIATING TERMS — not a final or binding offer

Rule 504: $1.0M toward $10M rolling 12-month cap; U.S.-only (Japan round is Reg S — keep distinct). EAI timeline: committed at board acceptance → issued at financing close (Q1 FY27 targeted) → freely tradeable at RTO listing (targeted ~6 mo post-close; not assured). Full detail: model → 'EAI Lockup & Liquidity' sheet.

Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx · With-vs-Without: sheet 'With vs Without Exos Capital' · Eqvista fairness opinion: engaged 8/14/2026; agreement still unsigned (held ~1 month). Projections are forward-looking (SEC Rule 10b-5 applies); RTO stock projection (mgmt assumption, not a guarantee): see model 'Total Compensation' / 'Returns and Dilution' · Exclusivity rescue options: SSLC_Exclusivity_Rescue_Options_and_Draft_Message_2026-10-07_DRAFT_v2.docx

DRAFT — INTERNAL — NEGOTIATING TERMS — John Quinn, CEO, Exos Aerospace — 2026-10-09

To: Jim Wertz, Chairman, and the SSLC Board of Directors

From: John M. Quinn, SSLC Director; Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.

Subject: Request for full QuickBooks access: billed-ahead review before close

Jim and members of the Board,

To finalize what SSLC shareholders receive at the acquisition close, we need to resolve the $942,177 shown as "billed ahead of work performed" on SSLC's October 11 balance sheet. I believe that figure does not reflect how SSLC actually starts and bills tanks, and it directly affects the close math. SSLC bills Intuitive Machines about 40% at the start of each tank; we believe those start-billings are not being cleared as tanks ship, which would overstate this balance.

I'm requesting full, read-only QuickBooks Online access for me and Exos's finance reviewer (an all-access user or accountant user, not reports-only), so we can review:

- Invoice and payment detail by customer, with the contract or PO behind each invoice
- Progress/milestone billing and revenue-recognition settings
- Tank start, build-status and delivery dates mapped to each invoice
- Customer deposits ($120,000) and any job or project costing
- The audit log for entries affecting these accounts
- Facility expenses (rent, utilities and similar) since January 2024, including amounts paid on behalf of Microcosm, Inc.
- SSLC’s stock ledger, cap table, subscription agreements and paid-in capital by shareholder (SSLC’s books show $1,014,465 total paid-in capital; we need the per-holder detail to compare each shareholder’s payout at close with what they invested)

As a director I have the right to inspect SSLC's books and records (Cal. Corp. Code § 1602: https://codes.findlaw.com/ca/corporations-code/corp-sect-1602/). This review is also part of the confirmatory diligence contemplated under our May 2025 Asset Acquisition Agreement. All information stays confidential under our July 27, 2021 NDA.

In the interest of full disclosure: with the Board's consent, Exos would also like to use the same books data to evaluate its in-house ERP/MRP and inventory systems against other options for the combined operation. Because these systems are built in-house, they could offer significant savings compared with outside solutions. This use is separate from the review above. It would happen only if the Board agrees, and the data would stay confidential under our NDA.

Could you grant access no later than October 15, 2026? Once the balance is reconciled, I'll share the analysis with the full board so we can agree on the figures at close.

I have also asked the Board to direct SSLC’s accounting firm to correct these accounts within five days.

Thank you,

John M. Quinn

Director, Scorpius Space Launch Company

Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.